

UNIT - 1

INTRODUCTION TO MICROECONOMICS AND DEMAND

Meaning, Nature and Scope of Economics; Meaning, Nature and Scope of Micro Economics; Importance and Limitations of Micro Economics; Distinction between Micro Economics and Macro Economics; Concept of Market, Demand Functions, Law of Demand, Market Demand

ECONOMICS : MEANING & DEFINITIONS

Economics is the study of economic issues or economic problems arising out of fact that resources are scarce in relation to our wants & scarce resources have alternative uses.

In other words, Economics is about making choices in the presence of scarcity. Economics focuses on the national management of limited resources in such a manner that our economic welfare is maximised.

The term 'Economics' was derived from the Greek words 'Oikos' (a house) and 'nemein' (to manage) which meant '**managing a household using limited resources in the most economical manner.**'

Definitions of Economics : Broadly speaking, the various definitions of economics can be lumped together under four heads :

A) Wealth Oriented Definitions of Economics :

The first view is associated with the name of Adam Smith & his disciples.

According to **Adam Smith**, "Economics is concerned with an enquiry into the nature & causes of wealth of nations."

According to **J.B. Says**, "Economics is the science which treats of wealth."

According to **F.A. Walker**, "Economics is the body of knowledge which relates of wealth."

Thus, we can conclude that early economists called Economics as the science of wealth.

B) Material welfare oriented definition of Economics :

Alfred Marshall was the first economist who shifted the emphasis from wealth to material welfare.

According to **Marshall**, "Economics is the study of mankind in the ordinary business of life, it examines that part of individual & social action which is closely connected with the attainment & with the use of material requisites of well being."

According to **Sir Beveridge**, "Economics is the study of general methods by which men co-operate to meet their material needs."

To conclude we can say that material welfare related definitions focus on study of mankind of material welfare of personal & social activities of man.

(C) Scarcity related Definition of Economics :

The publication of Prof. Lionel Robbins "Nature & Significance of Economic Science" gave his views on Economics.

Robbins defined Economics as "Science which studies human behaviour as a relationship between ends & scarce means which have alternative uses."

Robbins definition pinpoints the following facts :

- (i) Wants are unlimited.
- (ii) Resources are scarce.
- (iii) Resources have alternative uses.
- (iv) Scarce resource cause problem of choice.

According to **Wicksteed**, "Study of those principles on which the resources of a community should be so regulated & administered as to secure the communal ends without waste."

To conclude we can say that since human wants are unlimited, one is compelled to choose between the more urgent & the less urgent wants. That is why Economics is also called a Science of scarcity or Science of choice.

(D) Modern Definition of Economics :

Science of Dynamic Growth & Development :

Lord J.M. Keynes view : "Economics is the study of administration of scarce resources & of the determinants of income & employment."

Benham's view : "Economics is a study of factors affecting the size, distribution & stability of a country's national income."

Paul A. Samuelson has given a fine & popular definition of economics as

"Economics is the study of how men & society choose with or without the use of money, to employ scarce productive resources which could have alternative uses to produce various commodities over time & distribute them for consumption now & in the future among various people & groups of society."

DISTINCTION BETWEEN MICRO ECONOMICS & MACRO ECONOMICS**Micro Economics**

1. The term 'Micro Economics' is derived from the Greek word 'Mikros' meaning small.
2. Micro Economics is the study of the Economic actions of individuals & small group of individuals.
3. Micro Economics studies economic relationships or economic problems at the level of an individual - an individual firm, an individual household or an individual consumer.
4. Micro Economics is basically concerned with determination of output & price of an individual firm or industry.
5. Micro Economics studies economic phenomena at micro level i.e., at the individual level.
6. Micro Economics study confines to the theory of consumer behaviour, theories of production & cost, theory of commodity prices, theory of factor pricing.
7. Micro Economics is also known as 'Price Theory'.
8. The two important tools of studying Micro Economics are Demand & Supply.
9. Subject matter of Micro Economics is:
(i) Theory of consumer's behaviour
(ii) Theory of producer's behaviour
(iii) Theory of price - it focuses how prices of goods are determined in the commodity market & how prices of factors of production are determined in the factor market.

Macro Economics

1. The word 'Macro' is derived from the Greek word 'Makros' meaning 'large'.
2. Macro Economics is that branch of Economics analysis which studies behaviour of all economic units together as a whole.
3. Macro Economics studies economic relationships or economic problems at the level of an economy as a whole.
4. Macro Economics is basically concerned with determination of aggregate output & general price level in the economy as a whole.
5. Macro Economics studies economic phenomena at national aggregate level.
6. Macro Economics study confines to national aggregates including national income, aggregate consumption, savings, investment, total employment, the general price level, country's balance of payments.
7. Macro Economics is known as 'Income Theory'.
8. The two important tools of studying Macro Economics are Aggregate Demand & Aggregate Supply.
9. Subject matter of Macro Economics is:
(i) Theory related to Equilibrium level of output & employment.
(ii) Theory of multiplier.
(iii) Fiscal & monetary policies
(iv) Money supply & credit creation
(v) Govt. Budget
(vi) Exchange rate & balance of payments (BOP)

Conclusion : The terms 'Micro Economics' & 'Macro Economics' were first used by a Norwegian Economist 'Ragnar Frisch' in 1933.

Micro Economics is fundamentally the study of how individuals & firms find solution to the problem of maximizing their gains from their limited resources.

Macro Economics, on the other hand, Studies the working & performance of the Economy as a whole.

DEFINITIONS OF MICRO & MACRO ECONOMICS

Definitions of Micro Economics :

(i) According to **Prof. Boulding**, "Micro Economics is the study of particular firm, particular household, individual price, wage, income & particular commodity."

(ii) According to **Shapiro**, "Micro Economics deals with small parts of the Economy."

(iii) According to **J.L. Hanson**, "Micro Economics is that branch of Economics which is concerned with individual firms, their output & costs, the production & pricing of single commodities, wages of individuals etc."

Definitions of Macro Economics

(i) According to **Prof. Boulding**, "Macro Economics deals not with individual qualities as such but with aggregates of these quantities, not with individual income but with national income not with individual prices but price levels, not with individual output but with national output."

(ii) According to **Shapiro**, "Macro Economics deals with functioning of the Economy as a whole."

(iii) According to **J.L. Hanson**, "Macro Economics is that branch of Economics which considers the relationship between large aggregates such as volume of employment, total amount of savings, investment, national income etc."

NATURE AND SCOPE OF ECONOMICS

Nature of economics implies whether Economics is a science or an art.

Science : The term 'Science' has been defined as systematised & organised body of knowledge which establishes cause & effect of a particular phenomena.

Economics as a Science :

- (i) It examines Economic problems systematically.
- (ii) It establishes cause & effect relationship.
- (iii) It collects facts systematically, classifies & analyses them.

Therefore on the basis of above discussion, it can be concluded that Economics is a science because like other sciences, Economics can claim a number of important discoveries that have improved our understanding & our economic performance.

Economics as an Art : An 'Art' is that branch of knowledge which lays stress on the practical aspects of the problems i.e., how a problem can be solved.

According to J.M. Keynes, "An Art is a system of rules for the attainment of a given end."

An Art teaches us 'to do' :

Economics as an Art due to the following reasons :

1. Economics is an Art useful to solve practical problems.
2. Verification of Economic laws is possible if Economics is an art.

Conclusion : In short, A Science teaches us 'to know', An Art teaches us 'to do'. On the basis of the understanding of the terms 'science' & an 'art'. Economics can be viewed both as a science & an art. It is science in its methodology & An Art in its application. It has theoretical aspect & is also an applied science in the practical aspects.

Economics as Positive or Normative Science?

Economics as a Positive Science : Positive Science explains the real nature of a subject. It establishes the relationship between the causes & effects of a particular event as it happens. In other words, positive science answers the questions 'what was', 'what is', 'what will be', 'when' & 'how'.

For example, if prices have gone up, why have they gone up.

In short, problem are examined on the basis of facts.

Positive Science

Examples : (i) The main cause of price rise in India is the increase in money supply.

(ii) Production of foodgrains in India has increased manifold because of increase in irrigation facilities & consumption of chemical fertilisers.

Economics as a Normative Science : Normative Science is one which explains the events or facts as 'they ought to be'. Many Economists like Pigou; Marshall, Hawtrey etc. are of the opinion that Economics is a normative science because it is based on Value judgements i.e., perceptions of the people what is desirable & undesirable for the society.

Example :

Inequities in the distribution of wealth & incomes should be reduced.

Conclusion : Economics is therefore both a positive and a normative science.

SCOPE OF ECONOMICS

Scope of economics means area of its study or extent of its boundaries. Scope of economics covers the subject matter of economics & methodology of economics.

(A) Subject matter of Economics : Economics can be studied through (i) Traditional Approach (ii) Modern Approach

(i) Traditional Approach : Under traditional approach, the subject matter of economics is divided into five categories :

(a) Consumption : The satisfaction of human wants through the use of goods & services is called consumption.

(b) Production : Goods that satisfy human wants are viewed as “bundle of utility”. Hence, production would mean creation of utility. For production, the resources like land, labour, capital & organisation are required.

(c) Exchange : Goods are produced not only self consumption but also for sales. They are sold to buyers in markets. The processing of buying & selling constitutes exchange.

(d) Distribution : The production of any commodity requires four factors viz., land, labour, capital, entrepreneurship. These four factors of production are to be rewarded for their services rendered in the process of production. The process of determining rent, wages, interest and profit is called distribution.

(e) Public finance : It studies how the govt. gets money & how it spends it. Thus, in public finance we study about public revenue, public expenditure & public debt.

(ii) Modern Approach : Under modern approach, the scope or subject matter of economics is divided into two parts :

(a) Micro Economics : Micro Economics analyses the economic behaviour of any particular decision making entity viz., firm, household etc. Micro economics studies the flow of economic resources or factors of production from household or resource owners to business firms & flow of goods & services from business firm to households. It studies the behaviour of individual decision making unit with regard to fixation of price & output & its reactions to the changes in demand & supply conditions. Hence, micro economics is also known as price theory.

(b) Macro Economics : Macro Economics studies the behaviour of economic system as a whole or all the decision-making units put together. Macro Economics deals with the behaviour of aggregates like total employment, gross national product (GNP), National income, general price level etc. Macro economics is also known as 'Income Theory'.

(B) Methodology of Economics : Economics as a science adopts two methods for the discovery of its laws & principles.

(a) Deductive Method : Under deductive method, we proceed from the general to particular, i.e., we start from certain principles that are self-evident or based on strict observations. It is abstract or A prior method. Under this method, few indisputable facts about human nature collected to draw inferences about concrete individual cases.

Merits of Deductive Method

- i) It is useful in analysing the complex economic phenomenon where cause & effect are inextricably mixed up.
- ii) This application of the deductive method yields exact and true conclusions provided the premises on which they are based are true.
- iii) It is very easy & simple for application.

Demerits of Deductive Method

- i) This method makes economics dogmatic, for it refuses to admit that there can be some flaw in the premises.
- ii) The Deductive Method proves particularly dangerous when universal validity is claimed for generalizations based on imperfect & incorrect assumptions.

(b) Inductive Method : Inductive method mounts up from particular to general i.e., we begin with the observations of particular facts & then proceed with the help of reasoning founded on experience so as to formulate laws on the basis of observed facts.

It is also known as Realistic, Historical Method. This method insists on the examination of facts & then laying down general principles. Here we go up from 'particulars' to 'generals'.

Merits of Inductive Method

- i) It can be applied for verification of conclusions based on deductive reasoning.
- ii) Inductive method is more suitable & useful in the formulation of economic policies.

Demerits of Inductive Method

The danger is that hurried conclusions may be drawn from insufficient no. of facts some important facts may have been ignored & the conclusion may be unwarranted.

Conclusion : In Nutshell, we can say that scope of Economics is very wide. The scope of economics means subject matter of economics & its methodology.

MEANING, NATURE & SCOPE OF MICRO ECONOMICS

Meaning of Micro Economics

Micro Economics is the study of decision making behaviour at the micro level.

According to **Boulding**, “Micro Economics is the study of particular firm, particular household, individual price, wage, income, industry & particular commodity.”

In Nutshell, Micro Economics studies the economic phenomena at micro level, i.e., at the individual level. Micro Economics studies how consumers & producers make their choices, how their decisions & choices affect the demand & supply conditions. How consumers & producers interact to settle the price of goods & services in the market. How prices are determined in different market settings & how total output is distributed among those who contribute to production i.e., between land owners, labour, capital supplier & the entrepreneurs.

Thus, Micro Economics is a systematic study of choice-making behaviour of consumers & producers, allocation of resources (land, labour, capital) between goods & services that are produced & consumed & determination of their prices make the central theme of Micro Economics.

Nature of Micro Economics

For understanding the nature of Micro Economics, we must first understand the meaning of ‘Science’ & an ‘Art’.

The term ‘Science’ has been defined as a systematic & organised body of knowledge that establishes cause and effect relationship. If it collects facts systematically, classifies & analyses them. On this basis, Micro Economics is considered as Science.

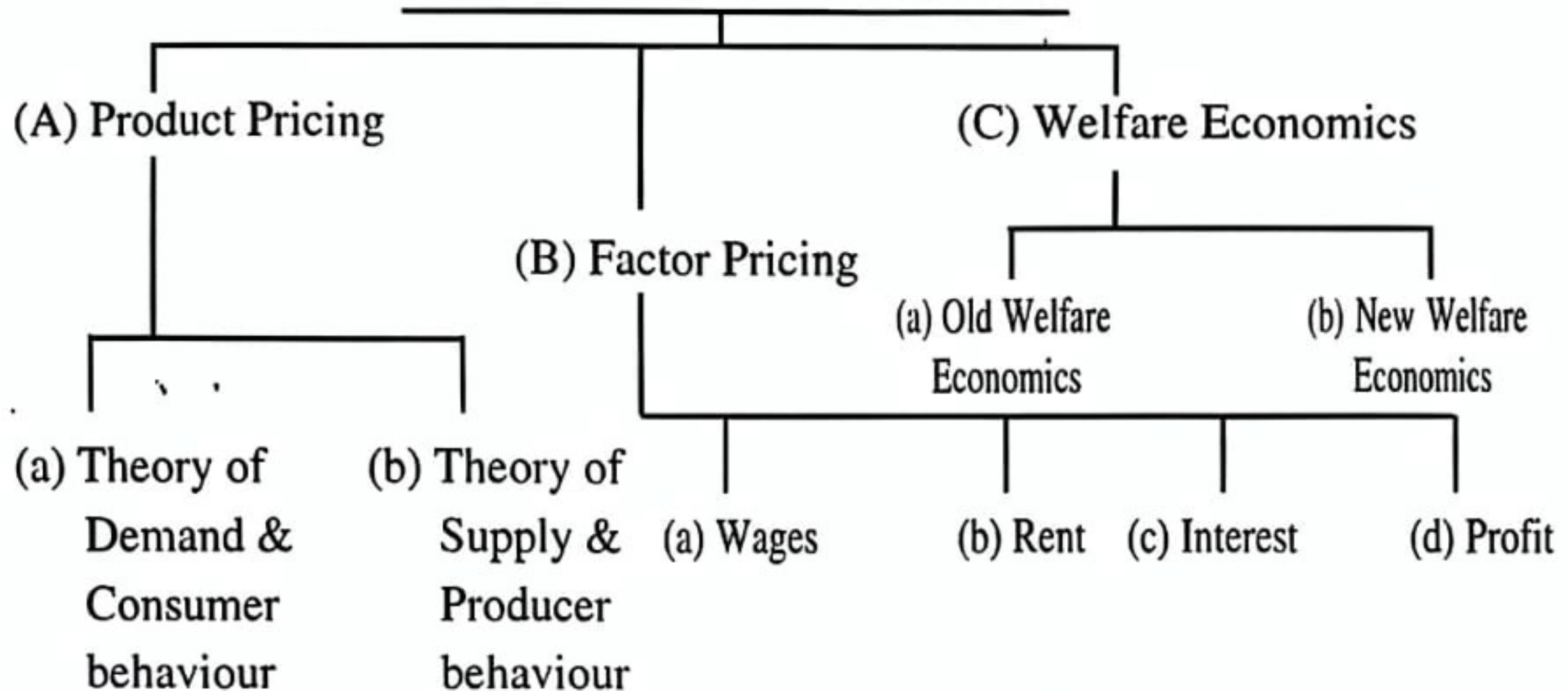
The term an ‘Art’ has been defined as “System of rules for the attainment of a given end.” Art is that branch of knowledge which lays stress on the practical aspects of a problem.

Micro economics as a Positive Science

Micro economics as a positive science seeks to analyse & explain economic phenomena as they are. It seeks to answer the questions ‘What is’, ‘Why it is’ & ‘What will be’. Micro economics explains the economic behaviour of individual decision makers under given conditions, their response to change in economic conditions & brings out the relationship between the change in economic conditions & economic decision of the people.

This makes Micro Economics a positive Science.

SCOPE OF MICRO ECONOMICS



Scope of Micro economics means areas or subject matter to be studied under Micro Economics. These are mentioned as under :

(a) Theory of Product Pricing : Theory of Product Pricing covers theory of demand, theory of supply, determination of price. Price of a commodity depends upon the forces of demand & supply. Study of demand side covers the analysis of consumer behaviour whereas the supply side covers analysis of conditions of production, cost & behaviour of firm & industry.

(b) Theory of Factor Pricing : The theory of factor pricing of factors of production, such as rent for land, wages for labour, interest for capital & profits for entrepreneurs is called theory of factor pricing.

Accordingly, the theory of factors pricing discusses how the reward or return for various factors of production (land, labour, capital, entrepreneurs) should be repaid, when they are contributing to the production activities.

(c) Theory of Economic Welfare : This theory deals with the efficiency in allocation of resources. Efficiency in the allocation of resources is attained when it results in maximization of satisfaction of people.

Economic Efficiency : implies maximum satisfaction with the help of minimum use of resources. It involves three efficiencies :

- **Efficiency in Production :** means producing maximum possible amount of goods & services from the given resources.
- **Efficiency in Consumption :** means distribution of goods & services among the people for consumption.
- **Efficiency in the direction of production :** It means production of those goods which are most desired by the people.

Micro Economics as a Normative Science

Micro Economics as a normative Science deals with the normative question 'What ought to be'. Micro Economics as a normative Science involved 'value judgement' on 'What is good' & 'What is bad' for the society. The values are drawn from the moral, ethical, social & political aspirations of the society. Since Micro economics prescribes methods to correct the undesirable economic happenings, it is also called a prescriptive Science.

For example : Production & sale of harmful goods like alcohol & cigarettes may be a very profitable business. But, 'Is production & sale of these goods desirable for the Society?' is a normative question – a question in public interest.

Micro Economics is a Social Science explains the question from the angle of social desirability of production & sale of such goods. It examines the costs & benefits of production & sale of goods like alcohol & cigarettes & prescribes the control & regulatory measures.

Conclusion : In Nutshell, we can conclude that Micro Economics is both positive & normative science. But basically it is positive science because it acquires its normative character from the application of micro economic theories to examine the economic phenomena from their social desirability point of view, to show the need for public policy action & to evaluate the policy actions of the Government.

CONCEPT OF MARKET

In Economics, the concept of 'Market' has a special meaning. It refers to a mechanism or an arrangement that facilitates the sale and purchase of goods. This arrangement could simply be through telephonic communication or even through electronic mail.

Therefore, in Economics, Market does not refer to any shopping complex. It refers to a mechanism or an arrangement that facilitates contact between the buyers & sellers for the sale and purchase of goods & services.

In the words of **Samuelson & Nordhaus**, "A market is a mechanism by which buyers & sellers interact to determine the price & quantity of a good or service."

DEMAND SIDE OF MARKET

Meaning of Demand : In Simple words, Demand is a desire for a good, backed by ability & willingness to pay. Demand refers to different possible quantities of a commodity that the consumer is ready to buy at different possible prices of that commodity.

It should also be understood that 'demand' is not the same thing as 'desire' or 'need'. A desire does not become demand unless it is backed up by the ability & willingness to satisfy it. Thus, demand for a commodity is a schedule of the quantities that buyers would be willing to purchase at different prices at any point of time.

Distinguish between Demand & Quantity Demanded

Demand refers to different possible quantities of a commodity that the consumer is ready to buy at different possible prices of that commodity.	Quantity demanded refers to specific quantity purchased against a specific price of the commodity by a consumer.
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DEMAND SCHEDULE

Demand schedule is table showing the relation between different quantities of a commodity to be purchased at different prices of that commodity. Concept of demand schedule includes :

- (a) Individual Demand Schedule
- (b) Market Demand Schedule

(a) Individual Demand Schedule : Individual Demand Schedule refers to demand schedule of an individual buyer in the market. It shows quantities of a commodity which an individual buyer will buy at different prices of that commodity, at a point of time.

Table-1 : Individual Demand Schedule

Price of Ice Cream (Rs)	Quantity Demanded (Units)
10	8
20	6
30	4
40	2

Table 1 shows that as the price of ice cream increases, quantity demanded tends to decrease. Table shows that there is an inverse relationship between own price of a commodity & its quantity demanded.

(b) Market Demand Schedule : Market Demand Schedule represents demand for a commodity by all the consumers in the market. Market Demand Schedule shows different quantities of a commodity which the consumers intend to buy at different possible prices of that commodity at a point of time.

Table 2 : Market Demand Schedule

Price of Ice Cream (Rs)	A's Demand	B's Demand	C's Demand	Total Market Demand (A+B+C)
10	10	10	12	32
20	8	7	11	26
30	6	6	9	21
40	4	3	7	14
50	1	2	3	6

Assumption : There are only 3 buyers in the market.

Table 2 Shows that when price of commodity (ice cream example) rises its market demand falls. Thus, the inverse relationship between own price of a commodity & its quantity demanded. Thus, we can derive market demand for a commodity by adding up the quantities demanded for a commodity at various prices by all the consumers that buy the commodity in a period of time.

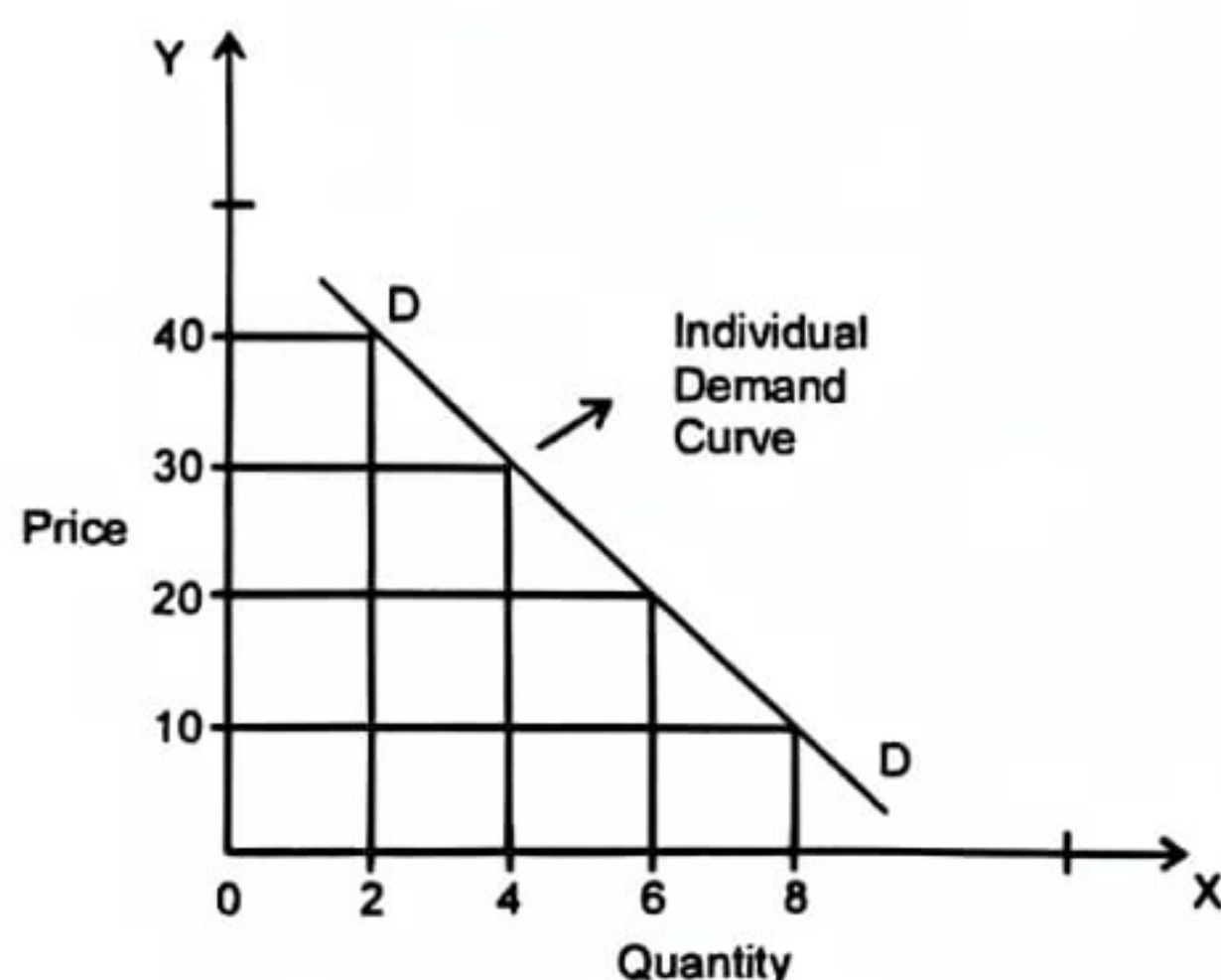


Fig (a) Individual Demand Curve

DEMAND CURVE

A demand curve is a graphical presentation of the demand schedule showing how quantity demanded of a commodity is related to its own price. Like demand schedule, concept of demand curve includes :

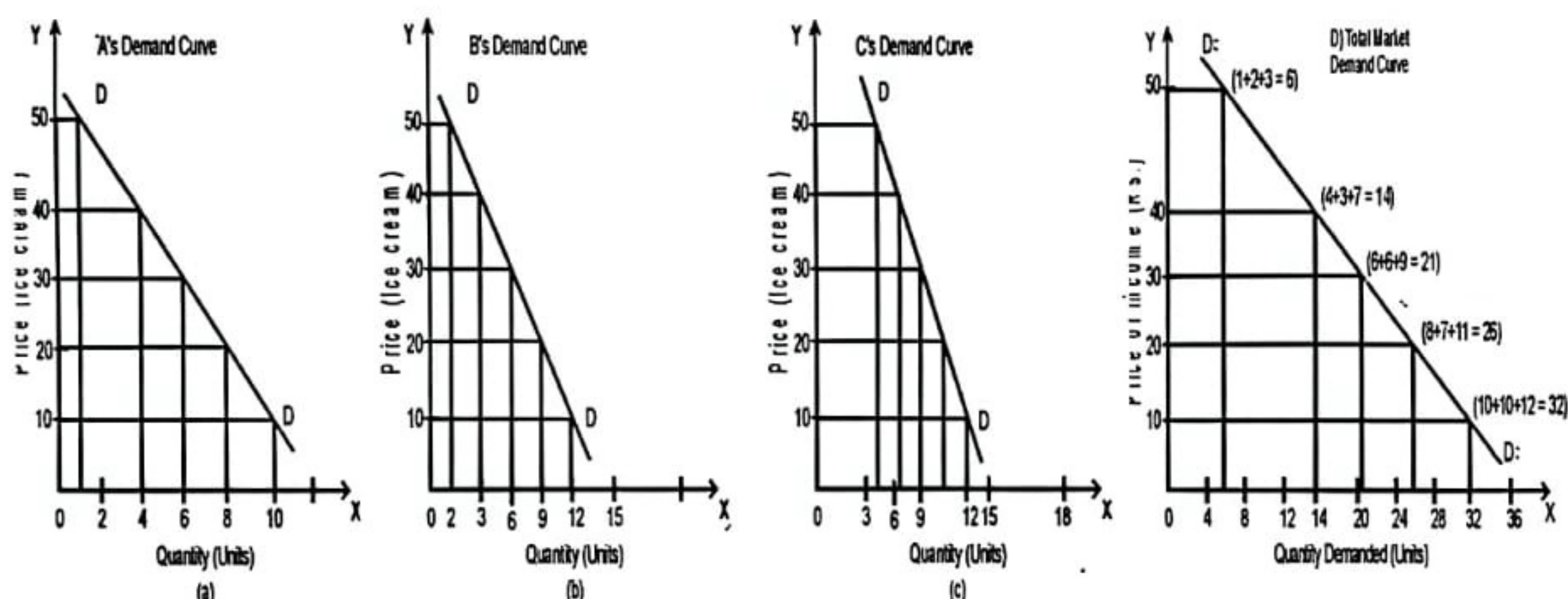
- (a) Individual Demand Curve
- (b) Market Demand Curve

(a) Individual Demand Curve : Individual Demand Curve is a curve showing different quantities of a

commodity that the particular buyer is ready to buy at different possible price at a point of time.

In corresponding figure, on OX-axis Quantity Demanded is taken and on OY-axis Price. DD is Demand Curve. Demand curve slopes downward. It shows inverse relation between price and quantity demanded. Thus, 02 units of commodity are demanded when price is 40 per ice cream while 8 units are demanded when price is 10 rupees per unit. It implies that less is demanded at higher price & more is demanded at lower prices.

(b) Market Demand Curve : Market Demand Curve is the horizontal summation of individual demand curves. It shows various quantities of a commodity that all the buyers in the market are ready to buy at different possible prices of a commodity at a point of time.



Above figure shows total market demand. It is graphic presentation of market demand schedule. A, B and C are three buyers in the market. Fig (a), Fig (b) and Fig (c) are individuals demand curve of individual buyers, A, B & C. Fig. (d) shows Market Demand Curve. It is quite clear from graph that Market Demand Curve slopes downward. It shows inverse relationship between own price of the commodity and its quantity demanded.

DEMAND FUNCTION OR DETERMINANTS OF DEMAND

Demand function shows the relationship between demand for a commodity and its various determinants. It shows how demand for a commodity is related to own price of a commodity or income of the consumer or other determinants.

Corresponding to two aspects of Demand viz., Individual demand and Market demand, we have two types of demand function :

1. Individual Demand Function
2. Market Demand Function

1. Individual Demand Function shows how demand for a commodity by an individual consumer in the market is related to its various determinants. It is expressed as under :

$$D_x = f(P_x, P_r, Y, T, E)$$

Where,

D_x = Quantity Demanded of Commodity X

P_x = Own prices of Commodity X

Y = Consumer's Income

T = Consumer's Tastes and preferences

E = Consumer Expectations

P_r = Price of related goods

(a) Own price of a commodity (P_x) : Other things being equal with a rise in price of the commodity, its demand contracts and with a fall in price, its demand extends. Thus, inverse relationship between price of a commodity and its demand.

(b) Price of Related Good (P_r) : Demand for a commodity is also influenced by change in price of related goods. There are two of related goods :

(i) Substitute Goods : These are the goods which can be substituted for each other such as tea and coffee or ball pen and ink-pen. In case of substitute goods, increase in price of one causes increases in demand for the other and decrease in the price of one causes decrease in the demand for the other.

(ii) Complementary Goods : Complementary goods are those goods which are used together to meet the demand or utility. These goods are demanded together.

Example : - Pen and ink

- Car and petrol etc.

In case of complementary goods, a fall in price of one causes increase in demand for other and a rise in price of one causes decrease in demand for other.

(c) Income of the Consumer (Y) : Change in the income of the consumer also influences his demand for different goods. The demand for normal goods tends to increase with increase in income & vice-versa. On the other hand, the demand for inferior goods like coarse grains tends to decrease with increase in income & vice-versa.

Thus, income effect is positive in case of normal goods and income effect is negative in case of inferior goods.

(d) Taste and Preferences : The demand for goods and services also depends on individuals tastes and preferences. These terms are used in a broad sense. They include

fashion, habit, custom etc. Taste and preferences of the consumers are influenced by advertisement, change in fashion, climate, new inventions etc. Other things being of demand for those goods increases for which consumers develop taste and preferences. Contrary to it, if a consumer has no taste or preference for a product, its demand will decrease.

(e) Expectations : If the consumer expects a significant change in the availability of the concerned commodity in the near future, he may decide to change his present demand for the commodity.

2. Market Demand Function : Market demand function shows how market demand for a commodity is related to its various determinants or it shows the relationship between market demand for a commodity and its various determinants. It is expressed as :

$$\text{Mkt } D_x = f (P_x, P_r, Y, T, E, N, Y_d)$$

Here, Mkt. D_x = Market Demand for Commodity -X

P_x = Own price of commodity -X

P_r = Price of related goods

Y = Income of the consumer

T = Tastes and preferences

E = Expectations

N = Population Size or Numbers of buyers

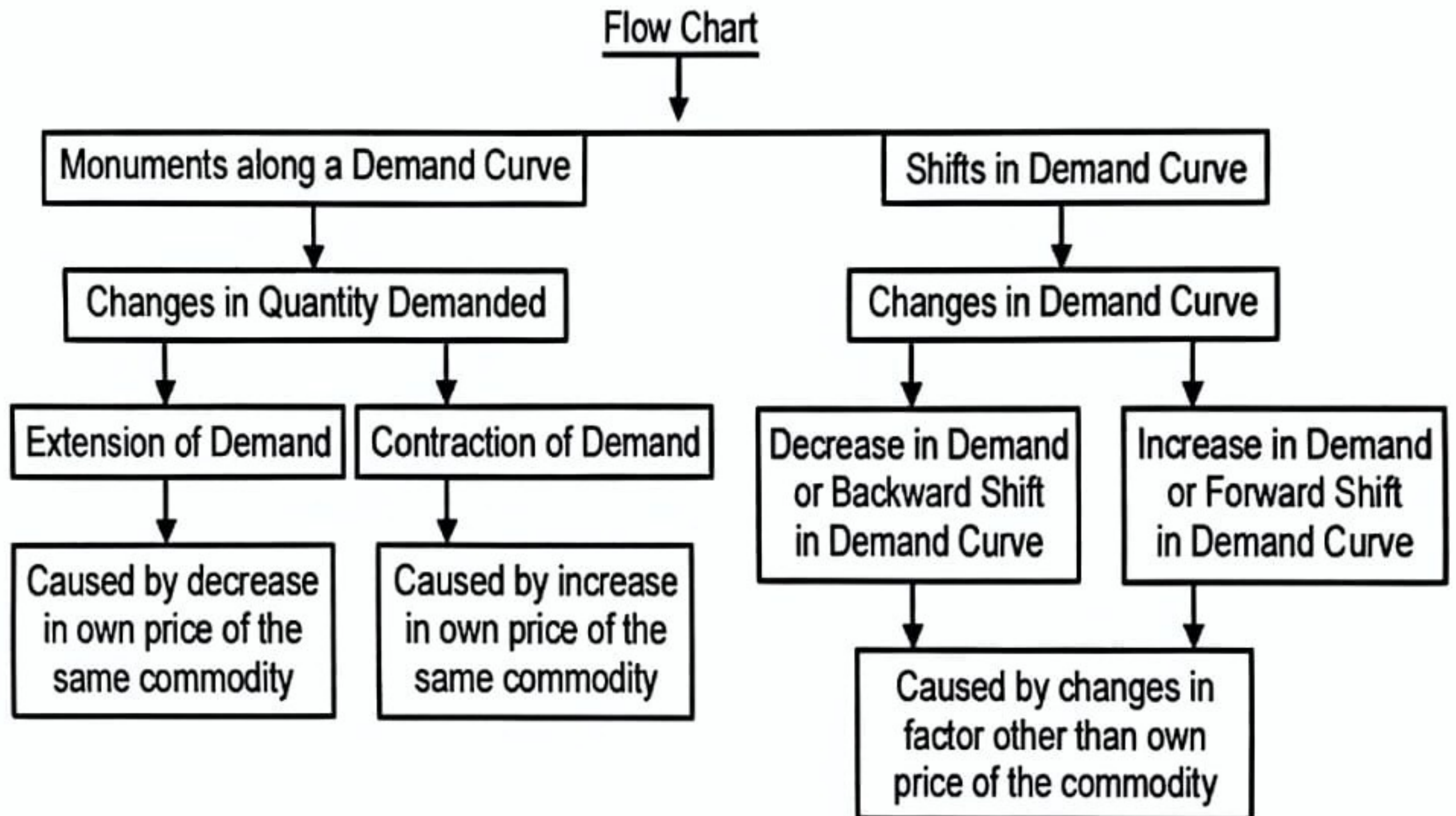
Y_d = Distribution of income

I have already discussed P_x , P_r , Y , T and E in case of individual demand function. Here we discuss only two remaining determinants. These are as under :

(a) Population Size : Demand increases with increase in the number of buyers for a commodity. Example : Owing to a substantial increase in the number of buyers, the demand for cars has substantially risen in India.

(b) Distribution of Income : Market Demand is also influenced by the distribution of income in the society. If redistribution of income increases inequality (rich becoming richer, and poor becoming poorer) the demand for luxury goods (like big cars) is expected to rise. Also, a further fall in the income of poor people may compel them to shift from normal to inferior goods. Implying a rise in the demand for inferior goods like coarse grain.

CHANGE IN QUANTITY DEMANDED (MOVEMENT) VS. CHANGE IN DEMAND (SHIFT) OF DEMAND CURVE



(a) Movements along a Demand Curve : A movement along the Demand curve is caused by a change in the price of the good, other things remaining constant. It is also called change in quantity demanded of a commodity. Movement is always along the same demand curve. Movement along a demand curve can be bring about :

- (i) Expansion of Demand/Extension of Demand
- (ii) Contraction of Demand

(i) Expansion of Demand or Extension of Demand : refers to increase in quantity demanded of a commodity due to fall in its own price.

Table 1 : Extension of Demand

Price (Rs)	Quantity (Units)	Description
3	30	Fall in own Price of Commodity
		↓
2	50	Rise in Quantity Demanded

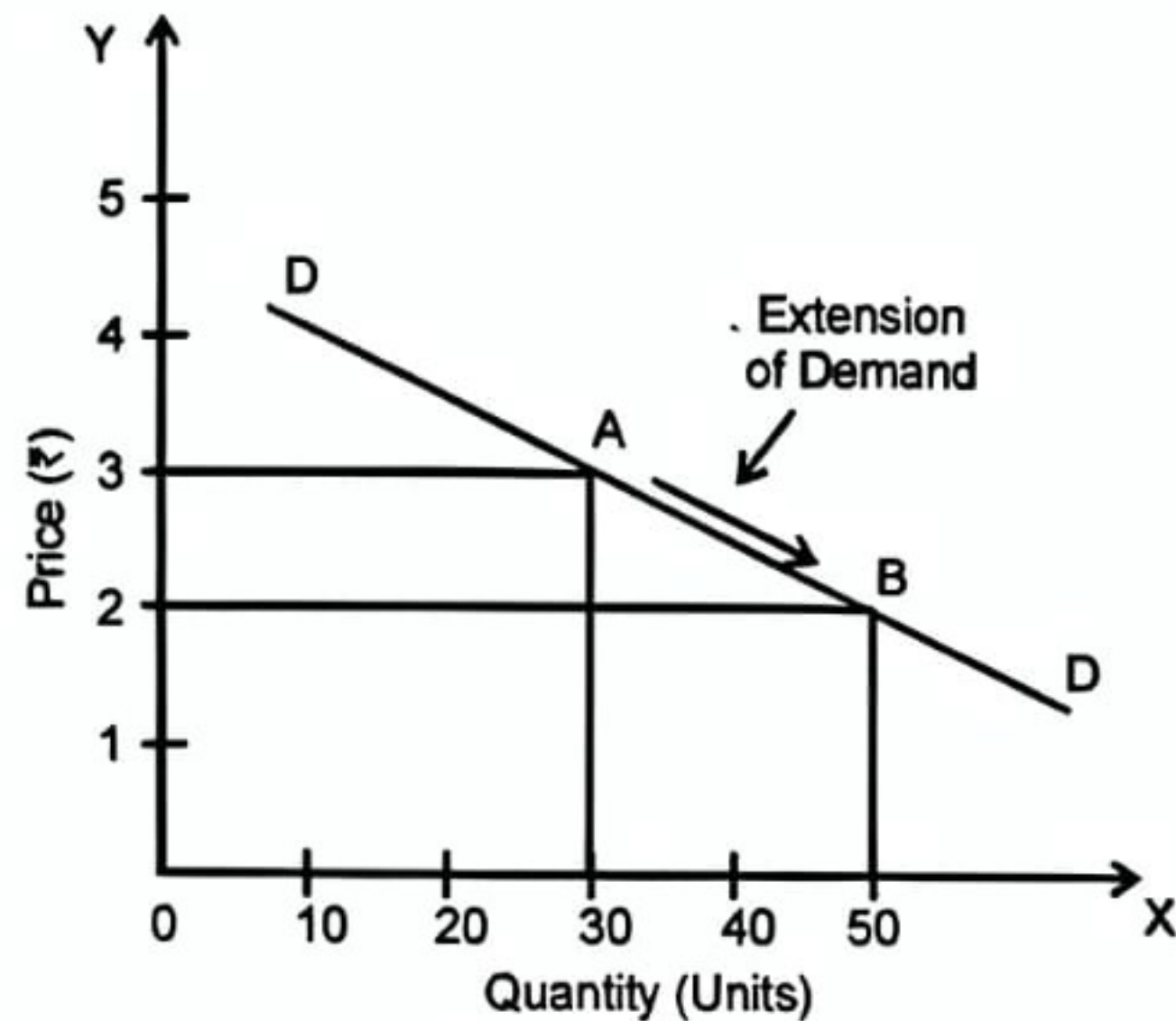


Fig. 1 : Extension of Demand

Extension or Expansion of Demand is indicated by a movement down from demand curve as from point 'A' to 'B' in above drawn figure. A downward movement from point A to point such as B shows expansion or more quantity demanded at a lower price.

(ii) Contraction of Demand : Contraction of demand refers to decrease in quantity demanded of a commodity due to rise in its own price.

Table 2 : Contraction of Demand

Price (Rs)	Quantity (Units)	Description
2	50	Rise in price ↓
5	30	Fall in Quantity Demanded

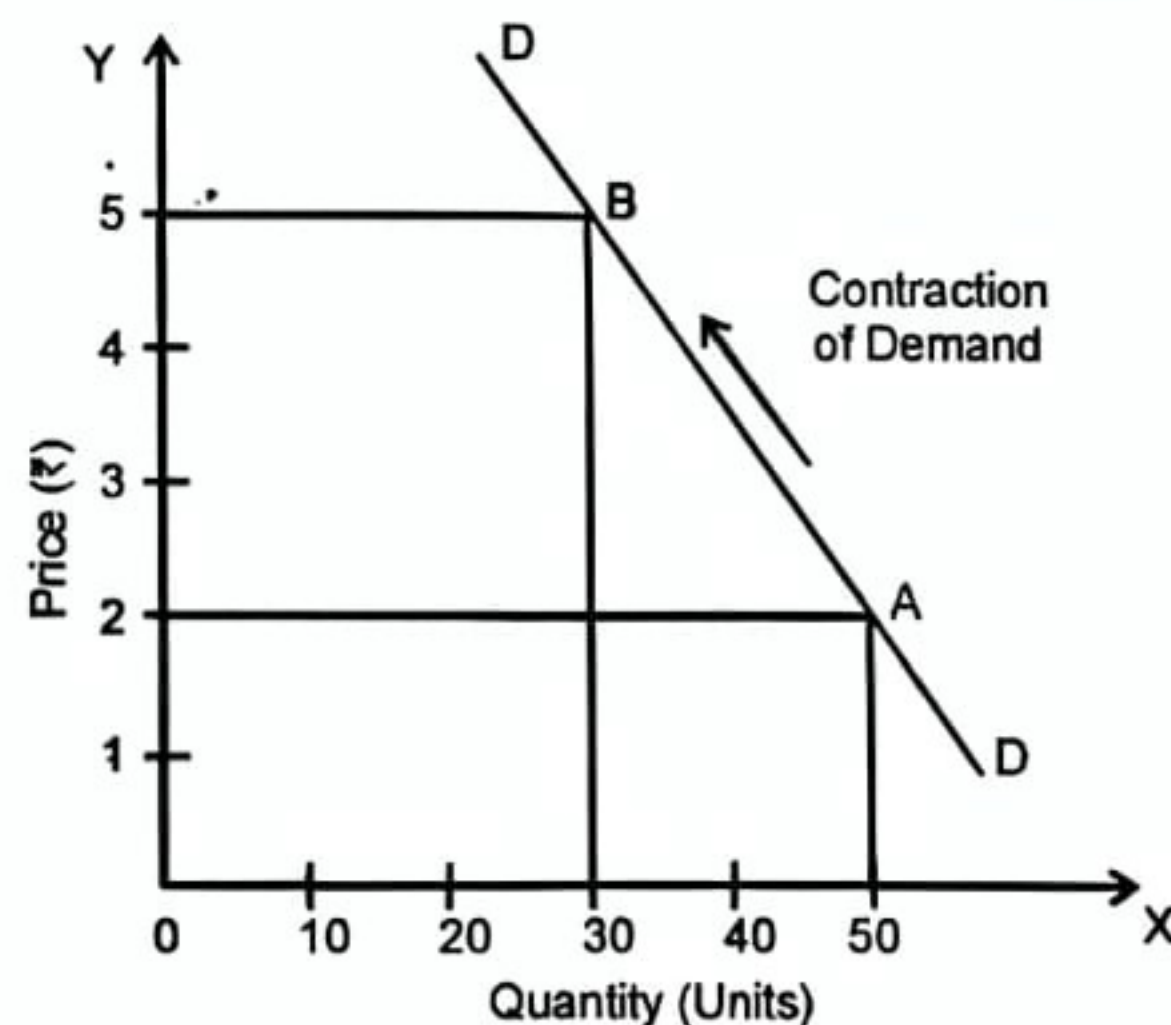


Fig. 2 : Contraction of Demand

Diagrammatically, it means a movement up along the demand curve from point A to B in fig (2). An upward movement from point 'A' to point such as 'B' shows contraction or lesser quantity demanded at a higher price.

SHIFTS IN DEMAND CURVE (INCREASE OR DECREASE IN DEMAND CURVE)

A shift in demand curve is caused by changes in factors other than the price of a good. These factors are :

- (i) Consumer's income (Y_c)
- (ii) Price of related goods i.e. substitute and complementary goods (P_r)
- (iii) Consumer's taste and preferences (T)
- (iv) Size of population
- (v) Distribution of income and wealth

A change in any of these factors causes shift of the demand curve. It is also called change in demand. In a shift, a new demand curve is drawn. A shift of the demand can bring about :

(a) Increase in Demand

(b) Decrease in Demand

(a) Increase in Demand: It refers to more demand at a given price or the same demand at a higher price.

Table 3 : Increase in Demand

Price (Rs)	Quantity (Units)
3	90
3	100

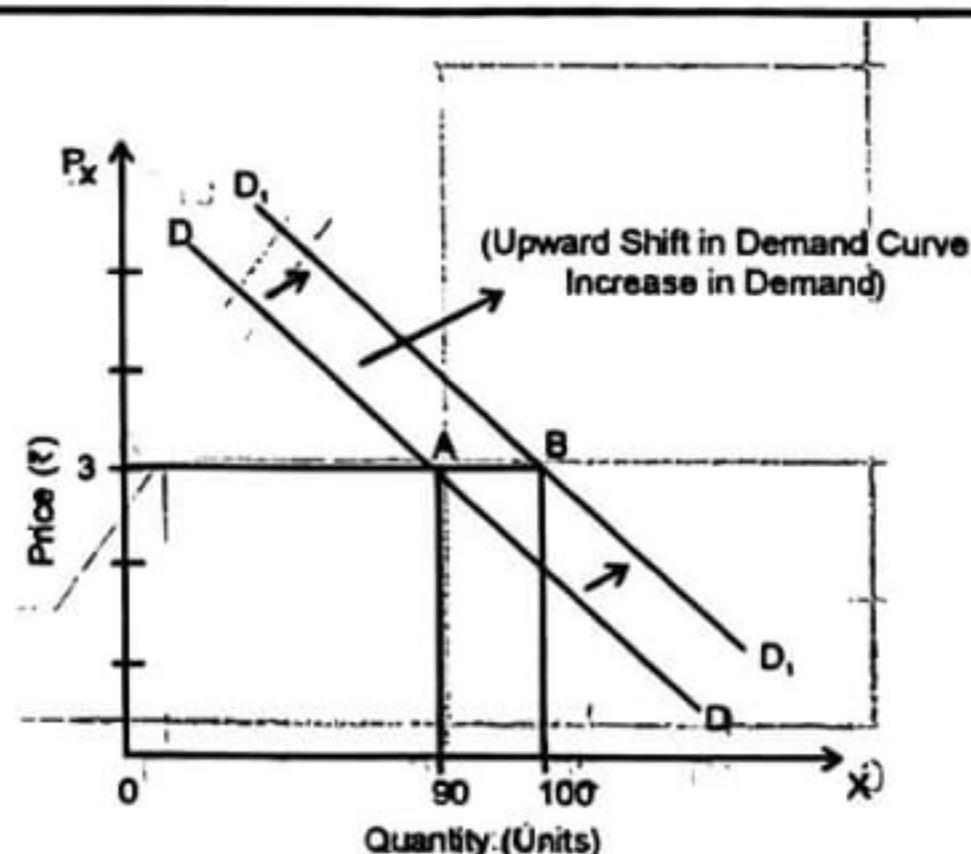


Fig. 3 : Increase in Demand

The causes of Increase in demand are :

- (i) Increase in the income of the consumer.
- (ii) Increase in the price of substitute goods.
- (iii) Fall in price of complementary goods.
- (iv) Consumer's taste becoming stronger in favour of the good.

Increase in demand can be shown with a demand schedule given in table (3) and graphically depicted in figure (3) above. In above drawn figure, DD is original demand curve. An increase in demand is shown by rightward shift of the demand curve from DD to D_1D_1 .

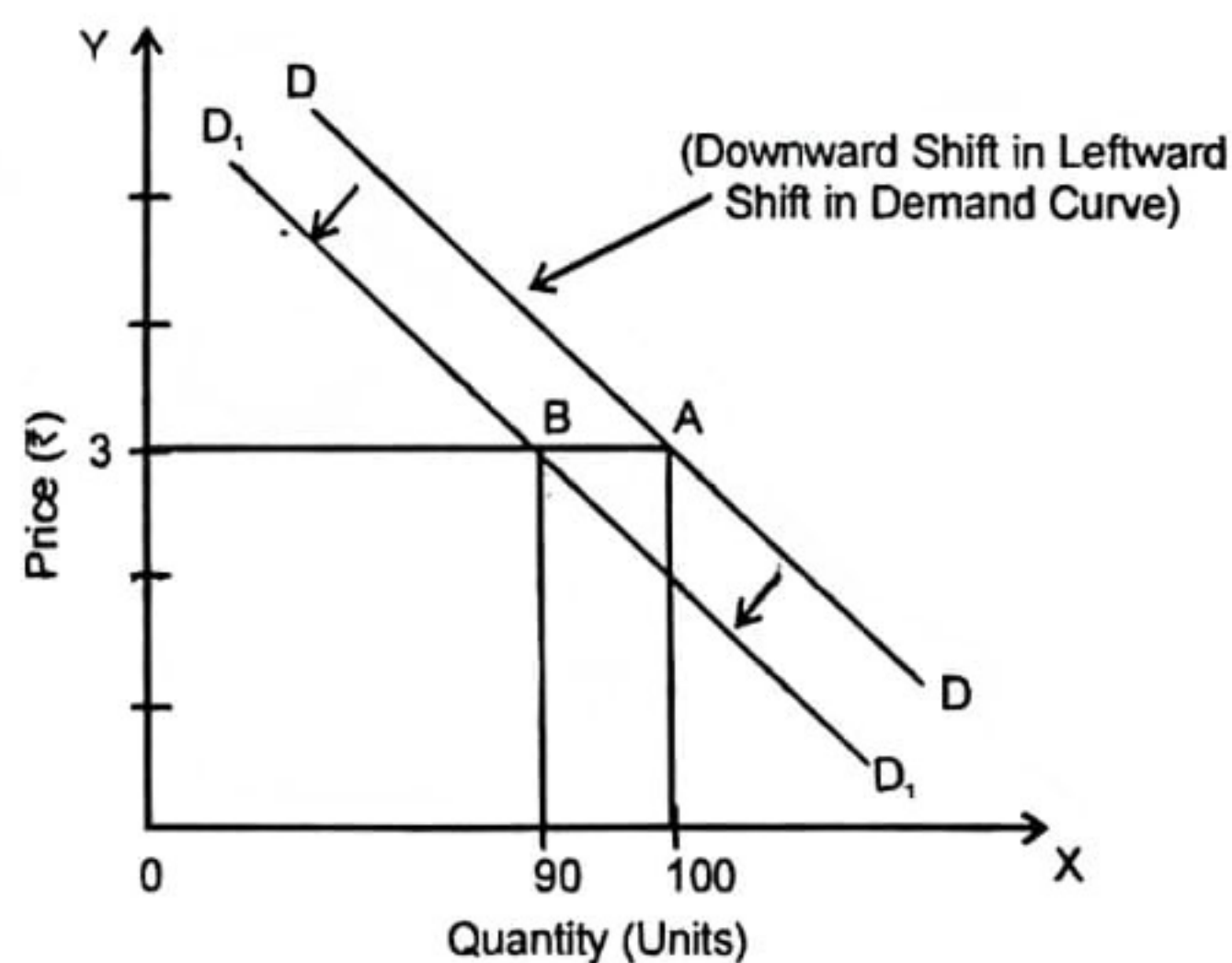
(b) Decrease in Demand : It refers to less demand at a given price or the same demand at a lesser price. It occurs due to unfavourable changes in factors other than price of the good. The causes of Decrease in Demand are :

- (i) Fall in the income of the consumer.
- (ii) Fall in the price of Substitute goods.
- (iii) Rise in price of complementary goods.
- (iv) Consumer's taste becoming unfavourable towards the good.

Decrease in demand can be shown with the help of a demand schedule given in table (4) and graphically in figure (4) shown below :

Table 4 : Decrease in Demand

Price (Rs)	Quantity (Units)
3	100
3	90

**Fig. 4 : Shift in Demand Curve : Decrease in Demand**

In the figure 'DD' is the original Demand Curve. A decrease in demand is shown by a leftward shift of the demand curve from DD to D_1D_1 . A decrease in demand shows that at the original price Rs. 3, lesser units 90 are demanded. In the original situation, 100 units are demanded at price Rs. 3 per unit.

LAW OF DEMAND

The law of demand is one of the most important laws of economic theory. According to law of demand, other things being equal, if the price of a commodity falls, the quantity demanded of it will rise and if the price of a commodity rises, its quantity demanded will decline. Thus, there is an inverse relationship between price and quantity demanded, other things being same. The other things which are assumed to be equal or constant are the prices of related commodities, income of consumers, tastes and preferences of consumers, and such other factors which influence demand. If these factors which determine demand also undergo a change, then the inverse price-demand relationship may not hold good. For example, if incomes of consumers increase, then an increase in the price of a commodity, may not result in a decrease in the quantity demanded of it. Thus, the constancy of these other factors is an important assumption of the law of demand.

Definition of the law of Demand

Prof. Alfred Marshall defined the law thus: "The greater the amount to be sold, the smaller must be the price at which it is offered in order that it may find purchasers or in other words the amount demanded increases with a fall in price and diminishes with a rise in price". The law of demand may be illustrated with the help of a demand schedule and a demand curve.

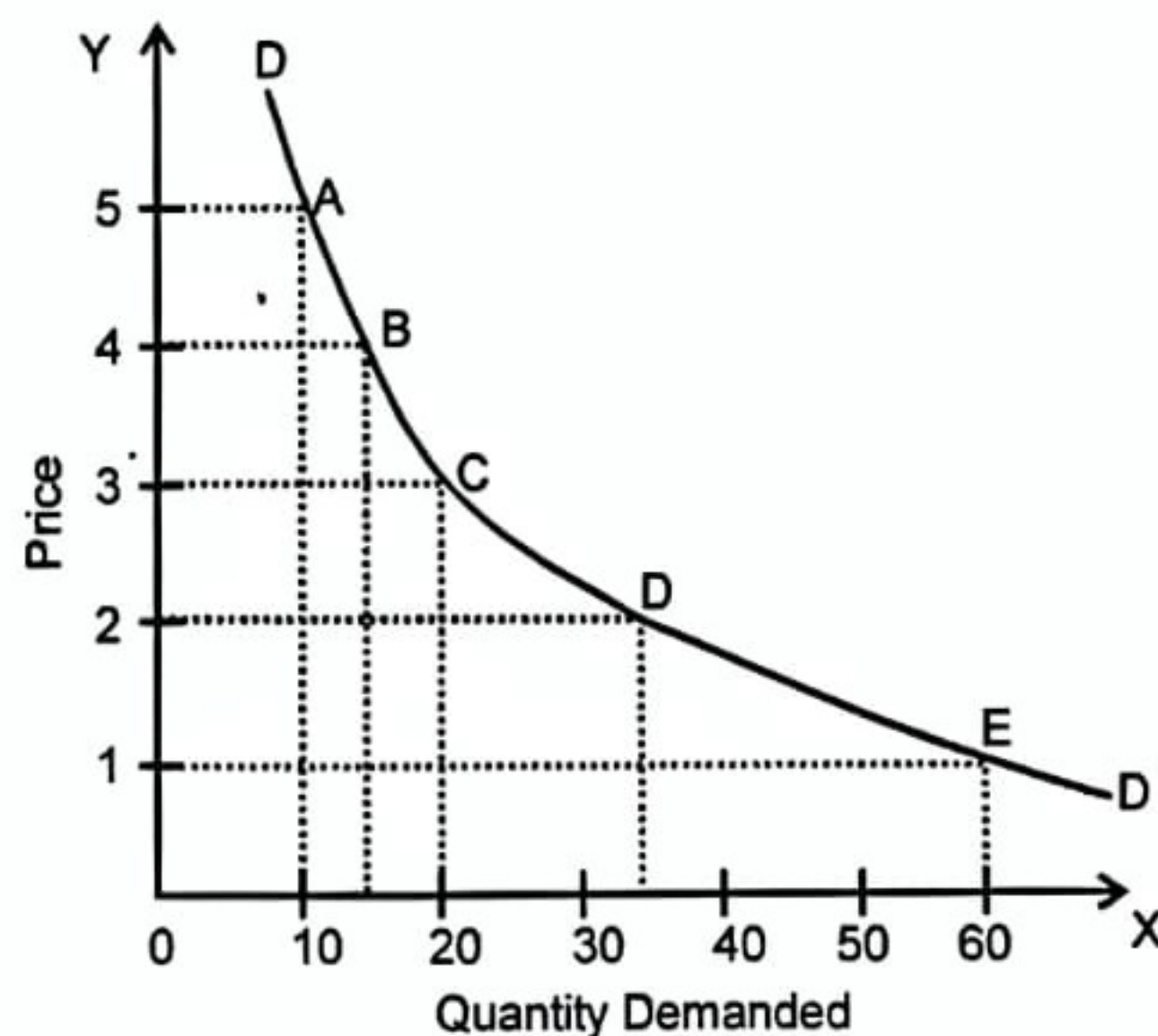
Demand Schedule : To illustrate the relation between the quantity of a commodity demanded and its price, we may take a hypothetical data for prices and quantities of commodity X. A demand schedule is drawn upon the assumption that all the other influences remain unchanged. It thus attempts to isolate the influence exerted by the price of the good upon the amount sold.

Table 1 : Demand Schedule of an Individual consumer

	Price (Rs)	Quantity demanded (Units)
A	5	10
B	4	15
C	3	20
D	2	35
E	1	60

When price of commodity X is Rs. 5 per unit, a consumer purchases 10 units of the commodity. When the price falls to Rs. 4, he purchases 15 units of the commodity. Similarly, when the price further falls, the quantity demanded by him goes on rising until at price Rs. 1, the quantity demanded by him rises to 60 units. The above table depicts an inverse relationship between price and quantity demanded; as the price of the commodity X goes on rising, its demand goes

Demand curve : We can now plot the data from Table 1 on a graph with price on the vertical axis and quantity on the horizontal axis. In Fig. 1, we have shown such a graph and plotted the five points corresponding to each price-quantity combination shown in Table 1. Point A, shows the same information as the first row of Table 1, that at Rs. 5 per unit, only 10 units of X will be demanded. Point E shows the same information as does the last row of the table, when the price is Rs. 1, the quantity demanded will be 60 units.

**Fig. 1 : Demand Curve**

We now draw a smooth curve through these points. The curve is called the demand curve for commodity 'X'. The curve shows the quantity of 'X' that a consumer would like to buy at each price; its downward slope indicates that the quantity of 'X' demanded increases as its price falls. Thus downward sloping demand curve is in accordance with the law of demand.

Rationale of the Law of Demand : Why does demand curve slope downwards? Different economists have given different explanations for the operation of law of demand. These are given below.

(1) **Law of diminishing marginal utility :** According to Marshall, people will buy more quantity at lower price because they want to equalize the marginal utility of the commodity and its price. So a rational consumer will not pay more for lesser satisfaction. He is induced to buy additional units in order to maximize his satisfaction or utility. The diminishing marginal utility and equalizing it with the price is the cause for the downward sloping demand curve.

(2) **Substitution effect :** Hicks and Allen have explained the law in terms of substitution effect and income effect. When the price of a commodity falls, it becomes relatively cheaper than other commodities. It induces consumers to substitute the commodity whose price has fallen for other commodities which have now become relatively expensive. The result is that the total demand for the commodity whose price has fallen increases. This is called substitution effect.

(3) **Income effect :** When the price of a commodity falls, the consumer can buy the same quantity of the commodity with lesser money or he can buy more of the same commodity with the same amount of money. In other words, as a result of fall in the price of the commodity, consumer's real income or purchasing power increases. This increase in the real income induces him to buy more of that commodity. Thus, demand for that commodity (whose price has fallen) increases. This is called income effect. Due to the operation of income effect and substitution effect, price effect operates or law of demand holds.

(4) **Arrival of new consumers :** When the price of a commodity falls, more consumers start buying it because some of those who could not afford to buy it previously may now afford to buy it. This raises the number of consumers of a commodity at a lower price and hence the demand for the commodity in question.

(5) **Different uses :** Certain commodities have multiple uses. If their prices fall they will be used for varied purposes and demand for such commodities will increase. When the price of such commodities are high, rises they will be put to limited uses only. Thus, different uses of a commodity make the demand curve slope downwards reacting to changes in price.

Exceptions to the Law of Demand : According to the law of demand, more of a commodity will be demanded at lower prices than at higher prices, other things being equal. The law of demand is valid in most cases; however there are certain cases where this law does not hold good. The following are the important exceptions to the law of demand.

(i) Conspicuous goods : Articles of prestige value or snob appeal or articles of conspicuous consumption are demanded only by the rich people and these articles become more attractive if their prices go up. Such articles will not conform to the usual law of demand. This was found out by Veblen in his doctrine of "Conspicuous Consumption" and hence this effect is called 'Veblen effect' or 'prestige goods effect'. Veblen effect takes place as some consumers measure the utility of a commodity by its price i.e., if the commodity is expensive they think that it has got more utility. As such, they buy less of this commodity at low price and more of it at high price. Diamonds are often given as example of this case. Higher the price of diamonds, higher is the prestige value attached to them and hence higher is the demand for them.

(ii) Giffen goods : Sir Robert Giffen, an economist, was surprised to find out that as the price of bread increased, the British workers purchased more bread and not less of it. This was something against the law of demand. Why did this happen? The reason given for this is that when the price of bread went up, it caused such a large decline in the purchasing power of the poor people that they were forced to cut down the consumption of meat and other more expensive foods. Since bread, even when its price was higher than before, was still the cheapest food article, people consumed more of it and not less when its price went up.

Such goods which exhibit direct price-demand relationship are called 'Giffen goods'. Generally those goods which are considered inferior by the consumers and which occupy a substantial place in consumer's budget are called 'Giffen goods'. Examples of such goods are coarse grains like bajra, low quality rice and wheat etc.

(iii) Conspicuous necessities : The demand for certain goods is affected by the demonstration effect of the consumption pattern of a social group to which an individual belongs. These goods, due to their constant usage, have become necessities of life. For example, in spite of the fact that the prices of television sets, refrigerators, coolers, cooking gas etc. have been continuously rising, their demand does not show any tendency to fall.

(iv) Future expectations about prices : It has been observed that when the prices are rising, households expecting that the prices in the future will be still higher, tend to buy larger quantities of the commodities. For example, when there is wide-spread drought, people expect that prices of foodgrains would rise in future. They demand

greater quantities of foodgrains as their price rise. But it is to be noted that here it is not the law of demand which is invalidated but there is a change in one of the factors which was held constant while deriving the law of demand, namely change in the price expectations of the people.

(v) Demand for necessities : The law of demand does not apply much in the case of necessities of life. Irrespective of price changes, people have to consume the minimum quantities of necessary commodities.

Similarly, in practice, a household may demand larger quantity of a commodity even at a higher price because it may be ignorant of the ruling price of the commodity. Under such circumstances, the law will not remain valid.

(vi) Speculative goods : In the speculative market, particularly in the market for stocks and shares, more will be demanded when the prices are rising and less will be demanded when prices decline.

The law of demand will also fail if there is any significant change in other factors on which demand of a commodity depends. If there is a change in income of the household, or in prices of the related commodities or in tastes and fashion etc., the inverse demand and price relation may not hold good.
